

had already arrived. As the first homeowners in their families, they brought a new excitement and pride with them to the store as they bought furniture or appliances—in other times young couples might have exhibited such feelings as they bought clothes for their first baby. It was as if the very accomplishment of owning a home reflected such an immense breakthrough that nothing was too good to buy for it.

Now's a good time to connect a few things, as they'll become increasingly important:

- America is booming.
- It's booming *together* like never before.
- It's booming with debt that isn't a big deal at the time because it's still low relative to income and there's a cultural acceptance that debt isn't a scary thing.

6. Things start cracking.

1973 was the first year where it became clear the economy was walking down a new path.

The recession that began that year brought unemployment to the highest it had been since the 1930s.

Inflation surged. But unlike the post-war spikes, it stayed high.

Short-term interest rates hit 8% in 1973, up from 2.5% a decade earlier.

And you have to put all of that in the context of how much fear there was between Vietnam, riots, and the assassinations of Martin Luther King, and John and Bobby Kennedy.

It got bleak.

America dominated the world economy in the two decades after the war. Many of the largest countries had their manufacturing capacity bombed into rubble. But as the 1970s emerged, that changed. Japan was booming. China's economy was opening up. The Middle East was flexing its oil muscles.

A combination of lucky economic advantages and a culture shared by the Greatest Generation—hardened by the Depression and anchored in systematic cooperation from the war—shifted when Baby Boomers began